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Policy Dilemma

In recent decades, South Asian countries have made efforts to liberalize economically at a rapid rate. Following decades of protectionist policies and closed economies, governments across the regions have opened up trade and investment to attract foreign investment and integrate with the global economy. Led by Sri Lanka's efforts of the 1970s, followed by intensifying efforts from India and Pakistan in the 1990s, liberalization has appeared to be an opportunity for these countries to grow economically¹. These reforms, supported by international institutions such as the International Monetary Fund and the World Bank, were promoted as a path to growth and development. The consequences of South Asia's integration into the global market goes far beyond the region as its integration impacts international trade, investment flows, and global economic stability. While South Asian countries shift to having freer economies, the region must grapple with the challenges of growing inequality, corruption, and establishing effective trade agreements.

Despite rapid growth observed from liberalization, inequalities have ravaged the region as well, often along the lines of ethnic and cultural divides. Currently, South Asia has the world's greatest inequality of opportunity. 40-60% of total inequality in the South Asia region is driven by factors such as family background, caste, and ethnicity.² These inequalities have reinforced cycles of poverty and limited access to opportunity for millions. Income inequality has widened most sharply in the years following liberalization, and the gap between urban and rural populations has grown as cities have benefitted from foreign investment whereas rural communities have been left behind. South Asia is home to one-fifth of the world's population but nearly half of its poor, making it the region with

¹ "The South Asian Free Trade Agreement: Evolution and Challenges - Spring 2008 - MIT International Review," web.mit.edu, n.d., <https://web.mit.edu/mitir/2008/spring/south.html>.

² "Inclusive Growth Can Help Unleash South Asia's Untapped Potential," World Bank, n.d. <https://www.worldbank.org/en/news/press-release/2023/05/08/inclusive-growth-can-help-unleash-south-asia-untapped-potential>.

the greatest concentration of poverty. In terms of vulnerable populations, South Asia has the highest gender bias in education, limiting women's participation in the labor market.³

Similarly, corruption and internal oversight issues have hindered the progress of economic liberalization. South Asia has been highly susceptible to public sector corruption which has led to welfare losses in India and even fueled human trafficking in Bangladesh, India, and Nepal. Prime ministers in democratic countries such as Nepal, India, Pakistan, and Bangladesh were frequently found guilty of corruption. Government corruption hinders economic liberalization by creating uncertainty, distorting the markets, and reducing government capacity to provide necessary services which promotes instability. A 1% increase in corruption is found to reduce economic growth by 0.72%.⁴ South Asian corruption has been caused by nontransparent public institutions and widespread government interference with anti-corruption watchdogs.⁵

Likewise, there lies untapped potential within the South Asian global economy. Currently, intraregional trade makes up only around 5%, a fraction of its potential. Intraregional trade has been limited by factors such as substandard roads, marine and air transportation, and burdensome visa requirements that hinder labor mobility.⁶ While the South Asian Free Trade Agreement has aimed to reduce trade barriers and promote regional economic growth, SAFTA does not include services and or investment rules, resulting in trade and investing remaining low. South Asia still suffers from very high barriers to trade between countries. Tariffs remain high and many products are off the table as they are on "negative lists".⁷

³ Mahendra Dev, "Give to AgEcon Search," n.d., https://ageconsearch.umn.edu/nanna/record/281243/files/zef_dp29-00.pdf?withWatermark=0&withMetadata=0®isterDownload=1&version=1.

⁴ Adam A Millsap, "How Government Corruption Hurts Economic Growth," *Forbes*, July 25, 2025, <https://www.forbes.com/sites/adammillsap/2025/07/25/how-government-corruption-hurts-economic-growth/>.

⁵ "Fighting Corruption in South Asia - News," Transparency.org, n.d., <https://www.transparency.org/en/news/fighting-corruption-in-south-asia>.

⁶ "Trade," World Bank, n.d., <https://www.worldbank.org/en/programs/south-asia-regional-integration/trade>.

⁷ Asia South, "Development Partnership Program for Study on Intraregional Trade and Investment in South Asi A," 2020, <https://www.adb.org/sites/default/files/publication/28658/intraregional-trade-investment.pdf>.

Chronology

1965: Establishment of United Nations Development Programme

With the merging of the United Nations Expanded Programme of Technical Assistance and the United Nations Special Fund, the United Nations Development Programme (UNDP) was established on November 22nd 1965 tasked with addressing challenges including poverty reduction, democratic governance, crisis prevention, and women's empowerment.⁸ The UNDP set out with the intention to eliminate poverty and reach sustainable development. Economists Mahbub ul Haq and Amartya Sen posed a new way of thinking about economic growth beyond measuring GDP but evaluating human development through understanding human well-being and uncovering the root causes of poverty. The UNDP remains a key player in aiding state and institutional development.⁹

The UNDP's Economic Development Programme works to achieve economic growth that benefits those facing poverty. The UNDP can do this by strengthening urban and rural development while supporting partnerships between public and private institutions. Furthermore, the UNDP works to address existing disparities in employment, income, and economic participation for vulnerable groups such as women, rural communities, and economically disadvantaged groups.¹⁰

1970s-1990s: Early Waves of Liberalization

By the mid-1970s, Sri Lanka had faced an unsustainable fiscal deficit with a balance of payment crisis caused by declining trade, nationalization of plantations, and a drought causing a significant reduction in crop output. With low economic growth and high unemployment, Prime Minister J. R. Jayawardene in 1977 was elected as she vowed to shift towards a market economy, indicating the first signs of liberalization in South Asia.

⁸ Fink, Naureen Chowdhury. "United Nations Development Programme (UNDP)." *Meeting the Challenge: A Guide to United Nations Counterterrorism Activities*. International Peace Institute, 2012.
<http://www.jstor.org/stable/resrep09638.23>.

⁹ "UNDP at 60," undp, 2025, https://feature.undp.org/undp-at-60/?_gl=1.

¹⁰ "Economic Development | United Nations Development Programme," UNDP, n.d.,
<https://www.undp.org/georgia/our-focus/economic-development>.

Momentous reforms were brought about including the partial liberalization of financial markets, food subsidies being replaced by food stamps, and the increased availability of goods. In the 1960s, Sri Lanka's policy restricted foreign banks from establishing branches in Sri Lanka, however, in 1977, this was reversed. Tax incentives to encourage foreign direct investment also were established. Likewise, price controls and administrative controls were removed in efforts to resurge the economy. The privatization of state assets was used to bolster the private sector.¹¹ Reforms proved to be effective as the average annual GDP growth rate from 1977-1982 was 6%.

Beginning from 1988, Pakistan's economic liberalization efforts included trade liberalization, market-oriented policies, and deregulation. Following a decade of military rule, Pakistan returned to a democracy. Initial efforts of stabilization including reducing external account deficit and privatizing state-owned industries proved to be weak as the country continued to grapple with weak implementation and political instability. From 1992-1993, during the balance of payment crisis, the external current account deficit reached 7% of GDP leading to a series of macroeconomic adjustment programs. Despite these efforts, the country's economy was far from stable with a stagnating GDP growth rate (an average of 4% between 1992-1996), poor agricultural performance, infrastructure deterioration, and low investment. Pakistan's reliance on short-term investment from foreign countries reached \$11.2 billion in May 1998, leaving the country extremely vulnerable. In 1998, the countries' struggle was exacerbated by Pakistan's 1998 nuclear test which strained ties with the West, who threatened to impose economic sanctions. In 1998, Pakistan's external debt reached \$30 billion, and debt service ratio rose to 20.9% of export earnings, indicating the high cost of liberalization driven by crisis factors.¹²

Likewise, in 1991, India began its efforts to liberalize its economy following three decades of socialism and heavy regulation. At the time, the IMF considered India to be

¹¹ "Ministry of Finance - Sri Lanka," www.treasury.gov.lk, n.d., [https://www.treasury.gov.lk/web/economic-phases/section/towards%20an%20open%20economy%20\(1977-2005\)](https://www.treasury.gov.lk/web/economic-phases/section/towards%20an%20open%20economy%20(1977-2005)).

¹² Mohammad Zubair et al., "Liberalization and Economic Crisis in Pakistan," n.d., https://aric.adb.org/pdf/aem/external/financial_market/Pakistan/pak_mac.pdf.

“one of the most heavily regulated economies in the world,¹³” and in 1991 the urgency for change became clear when India’s foreign exchange reserves had fallen to less than \$1 billion, barely enough to cover more than a few weeks of imports. Prime Minister P.V. Narasimha Rao and Finance Minister Dr. Manmohan Singh initiated sweeping reforms including liberalizing international trade, lowering import tariffs, devaluing the rupee, and deconstructing the license & quota system that were in many Indian industries.¹⁴ Antitrust legislation was revised to stimulate expansion and allow companies to diversify their business products and services and the tax rate was reduced to ASEAN levels to attract investment. The results soon followed as the GDP growth rate had gone from 5% in the 1980s and to 6% in the 1990s, and poverty levels dropped from 40% to 28% by the late 1990s.¹⁵ India’s liberalization efforts were driven by the need to navigate a fiscal crisis.

1995-2006: Regional Integration & Global Trade Commitments

On January 1st, 1995, the World Trade Organization was established signifying the biggest international trade reform since World War II. While the previous framework of the General Agreement on Trade and Tariffs had been in place, the WTO went beyond managing the trade of goods, but also of intellectual property and services.¹⁶ From the Cancun to Doha ministerial meetings, South Asian countries struggled to create a common agenda due to regional politics, economic disparities, and due to countries pursuing independent trade agreements with developed countries, a detriment to support regional economies. Regional alliances play a crucial role in having a position of power in the WTO, a prime example includes the EU. Political tensions have caused a lack of a clear agenda, specifically as India and Pakistan tensions hindered formulating a common position for the

¹³ Nayar, Baldev Raj. “Political Structure and India’s Economic Reforms of the 1990s.” *Pacific Affairs* 71, no. 3 (1998): 335–58. <https://doi.org/10.2307/2761414>.

¹⁴ “Economy: Politics of Economic Reforms: Real Lessons from 1991,” www.freiheit.org, n.d., <https://www.freiheit.org/india/politics-economic-reforms-real-lessons-1991>.

¹⁵ Kotwal, Ashok, Bharat Ramaswami, and Wilima Wadhwa. “Economic Liberalization and Indian Economic Growth: What’s the Evidence?” *Journal of Economic Literature* 49, no. 4 (2011): 1152–99. <http://www.jstor.org/stable/23071665>.

¹⁶ World Trade Organization, “WTO | the History of Multilateral Trading System,” [Wto.org](https://www.wto.org/english/thewto_e/history_e/history_e.htm), 2025, https://www.wto.org/english/thewto_e/history_e/history_e.htm.

first two meetings. During the 2003 WTO Cancun meeting, India took the leading role amongst developing countries, Bangladesh represented a voice for the least developed countries, complicating the selection role of a singular leader for the South Asian countries.¹⁷

Furthermore, from the 1990s, South Asian countries began integrating themselves in the global economy, however regional integration efforts also occurred. The South Asian Free Trade Agreement (SAFTA) was signed by the seven member countries of the South Asian Association for Regional Cooperation (SAARC) on January 4th, 2004, and implemented on July 6th, 2006. The first phase of the agreement included India, Pakistan, and Sri Lanka reducing their custom tariffs to 20% and Bangladesh, Bhutan, Maldives, and Nepal reducing theirs to 30% beginning January 1st, 2008. The second phase targeted reducing tariffs from 0% to 5% from 2008-2013. The establishment of SAFTA provided both challenges and benefits as it impacted domestic markets, producers, tariff revenues, and member countries. Although the first phase has been completed, trade liberalization amongst the countries has been minimal. Trade flows have the potential to increase if member countries such as Pakistan and Sri Lanka signed agreements.¹⁸ Likewise, bilateral free trade agreements such as India-Sri Lanka had diverted attention away from SAFTA as bilateral agreements typically move faster and have their own frameworks. Another prominent issue of SAFTA is the differential treatment toward Less Developed Countries (LDCs), as the expansion of SAARC has led to a focus being shifted towards the issues the LDCs face causing a delay in regional connectivity.¹⁹

2008: Financial Shocks

The 2008 financial crisis had detrimental effects beyond just the United States, it triggered a global recession underscored by widespread job losses, bank failures, and a

¹⁷ Saman Kelegama, and Indra Nath Mukherji. "WTO and South Asia: From Doha to Cancun." *Economic and Political Weekly* 38, no. 37 (2003): 3864–67. <http://www.jstor.org/stable/4414011>.

¹⁸ Akhter, Naseem, and Ejaz Ghani. "Regional Integration in South Asia: An Analysis of Trade Flows Using the Gravity Model." *The Pakistan Development Review* 49, no. 2 (2010): 105–18. <http://www.jstor.org/stable/41263356>.

¹⁹ Kelegama, Saman. "Towards Greater Economic Connectivity in South Asia." *Economic and Political Weekly* 42, no. 39 (2007): 3911–15. <http://www.jstor.org/stable/40276463>.

sharp decline in international trade. In South Asia, it particularly affected food security as the crisis reduced the resources that could be used toward agriculture, reducing agricultural productivity. Rising unemployment and wage reductions led to those facing poverty unable to sustain their ways of life. Many migrant workers rely on remittances in South Asia, however the food and financial crisis severely impacted developing countries, as they faced high domestic food prices as they relied severely on the international economy. The rise in oil and energy prices cause agricultural fertilizers to absorb the price showing the transfer of prices to commodities. Another contributor to the rise of food prices was the decline of the growth rate of agricultural production.²⁰ In South Asia, India and Sri Lanka were the most impacted by the 2008 financial crisis. Initially fiscal and monetary policies were used to lessen the impact felt. India opted for a broader stimulus compared to more targeted measures in Sri Lanka and Bangladesh. While monetary policy was able to stabilize financial markets, its impact on increasing growth was mixed. The financial crisis left South Asian countries with limited ability to change fiscal policy, high inflation, tight monetary policy, and growing pressure on account balances.

2020s: Contemporary Crises

As the world was grappling with the COVID-19 global pandemic, South Asian countries had their worst economic performance in decades along with millions of job losses. India's economy faced an unavoidable recession as the economic activity and energy demand losses largely surpassed those of the 2008 financial crisis. The Indian government supported domestic industries in order to reduce dependency on imports as it became evident during the pandemic that India was economically dependent on China in certain areas.²¹ For example, India's pharmaceutical sector relied on Chinese imports.²²

²⁰ Mathur, Arpita. "Rising Food Prices and Food Security: Impact of the 2008 Food Crisis on Asia." S. Rajaratnam School of International Studies, 2010. <http://www.jstor.org/stable/resrep26869>.

²¹ Janardhanan, Nandakumar, Eri Ikeda, and Mariko Ikeda. "IMPACT OF COVID-19 ON JAPAN AND INDIA: Climate, Energy and Economic Stimulus." Institute for Global Environmental Strategies, 2020. <http://www.jstor.org/stable/resrep24952>.

²² Christophe Jaffrelot, "From Slowdown to Lockdown, India's Economy and the COVID-19 Shock," Institut Montaigne, June 11, 2020, <https://www.institutmontaigne.org/en/expressions/slowdown-lockdown-indias-economy-and-covid-19-shock>.

With the lockdown migrant workers from major Indian cities had fled back to their villages and in April 2020, almost 122 million people were jobless in India, largely people belonging to wage working sectors. These workers were subjected to the absence of social security, a lack of transportation caused them to walk hundreds of kilometers by foot, and they lacked jobs to support their livelihoods. COVID-19 exacerbated inequalities of rural and urban communities in India.²³

Additionally, prior to Covid-19, Sri Lanka was facing imbalances, highlighted by slowing growth, high balance of payment deficits, and high external debt. In March 2022, demonstrations swept the country as the country faced its worst economic crisis in decades. Citizens faced fuel shortages, power cuts, and growing foreign debt leading to demonstrators calling for the resignation of President Gotabaya Rajapaksa. Inflation rose to 50% in Sri Lanka and the country ran out of fuel as they lacked foreign currency to import fuel. The shortage of fuel led to the cost rising substantially. In May 2022, Sri Lanka failed to make its interest payment for the first time. Sri Lanka owed \$7 billion to China and \$1 billion to India. The IMF agreed to lend Sri Lanka \$3 billion on top of the \$600 million Sri Lanka received in the year prior. Sri Lanka's economic crisis was caused by a multitude of reasons including the COVID-19 pandemic hurting the tourism industry and the 2019 deadly bomb attacks which also contributed to tourism losses. President Rajapaksa's economic policies also played a role as the country attempted to boost domestic markets however did not grow foreign trade, leading the country to have low exports while imports continued to increase.²⁴

Similarly, in 2022 in Pakistan, the country faced both political and economic troubles. COVID-19 sent an economic shock as the informal sector, the backbone of the Pakistani economy, was hurt the greatest as it employed 85% of the population. The national poverty rate reached 24.7%. Economic instability only worsened from

²³ Pooja Misra and Jaya Gupta, "Impact of COVID 19 on Indian Migrant Workers: Decoding Twitter Data by Text Mining," *The Indian Journal of Labour Economics* 64, no. 3 (July 20, 2021), <https://doi.org/10.1007/s41027-021-00324-y>.

²⁴ Ayeshea Perera, "Sri Lanka: Why Is the Country in an Economic Crisis?," *BBC News*, March 29, 2023, sec. World, <https://www.bbc.com/news/world-61028138>.

devastating floods in 2022, which affected 33 million people. 13 million more people fell into poverty bringing the poverty rate to 25.3% between the years of 2023-2024. While the floods played a large role in the issue, a weak economic system along with political instability worsened conditions. Pakistan's economy has seen low investment, boom-and-bust cycles, and stationary levels of private investment. Growing public debt has prevented the government from investing in infrastructure. The poor are disproportionately impacted by this as a result of poor road conditions as it impacts their mobility and access to healthcare and education. Likewise, women are also disproportionately affected as the probability of girls being out of school is 76% higher than for boys.²⁵ The political conflicts in Pakistan at the time severely aggravated the economic issue as it impacted the devaluing of the currency, halting of bailout funds, soaring inflation, and a deteriorating business environment. The ousting of Prime Minister Imran Khan via a no-confidence vote led to violent protests and a power struggle between Khan's opposition party the PTI, the new government the PDM, the military, and the judiciary leading to inconsistent economic planning. The IMF stalled a bailout deal and as part of the deal the government was required to lift fuel price caps. This resulted in a raised cost of living and a reduction of purchasing power making it difficult to afford necessities and this intensified public anger.²⁶

Actors & Interests

South Asian National Governments

South Asian governments largely pushed towards economic liberalization between the 1980s and 1990s as these governments were tasked with navigating financial deficits. However, with support from the IMF and World Bank came the question of how to autonomously manage economic policies while integrating their recommended policies.

²⁵ "Pakistan's Poverty Trajectory: Progress, Peril, and the Path Forward," World Bank Blogs, 2025, <https://blogs.worldbank.org/en/endpovertyinsouthasia/pakistan-s-poverty-trajectory--progress--peril--and-the-path-for>.

²⁶ Salman Masood and Christina Goldbaum, "Pakistan Raises Fuel Prices as Economic and Political Crisis Deepens," *The New York Times*, May 27, 2022, sec. World, <https://www.nytimes.com/2022/05/27/world/asia/pakistan-fuel-price-crisis.html>.

India attempted to keep the IMF at arm's length to allow for a systematic adjustment. This was motivated by the fact that India wanted to manage their own economic policies independently²⁷. As governments have primarily prioritized recovering economies to stability, many South Asian nations have accepted stringent notifications from the IMF in exchange for critical bailout funds. For example, on March 20, 2023, the Sri Lankan government accepted a \$3 billion loan to help Sri Lanka recover from its economic crisis, however this came at the cost of undermining people's economic and social rights. Due to the IMF's policies, the government announced policies reducing public service salaries, removing subsidies, and increasing regressive taxes. Ultimately, the culmination of these factors worsened public services and raised prices during a time when a vast majority of people were struggling with exorbitant costs. At the height of the Sri Lankan economic crisis, many were critical of the government's corruption as corruption and tax benefits for the wealthy contributed to the economic crisis.

India, Pakistan, and Sri Lanka's liberalization was driven by the fiscal crisis, whereas Bangladesh and Nepal viewed liberalization as a necessary means to stimulate growth.²⁸ India's main priority was to prioritize fiscal reform, however, the country also recognized that without growth, the country would not be able to maintain poverty alleviation programs. India aimed to maintain sovereignty while also ensuring reforms would be sustained. At the same time, Pakistan aimed to navigate their financial crisis by first stabilization over social protections. Meeting the demands for the IMF while also maintaining political legitimacy remained the largest issue for the Pakistani government. In 1977, the Sri Lankan government provided consumer benefits to counteract austerity measures. The Bangladesh government looked to liberalization as a means of growing their garment sector to provide mass employment for women. In terms of protecting vulnerable populations, India currently uses MGNREGA which is the primary protection for the rural poor, as it provides up to 100 days of paid manual labor to millions of poor households in

²⁷ Woods, Ngaire. "Understanding Pathways Through Financial Crises and the Impact of the IMF: An Introduction." *Global Governance* 12, no. 4 (2006): 373–93. <http://www.jstor.org/stable/27800627>.

²⁸ Human Rights Watch, "Sri Lanka: IMF Loan Risks Eroding Rights," Human Rights Watch, March 29, 2023, <https://www.hrw.org/news/2023/03/29/sri-lanka-imf-loan-risks-eroding-rights>.

rural areas. However, while there are great benefits of this system, there still lies wage payment delays and a difficult system to approve wage payments.²⁹ Similarly, Pakistan's Benazir Income Support Programme supports around 9.6 million families as of 2024, however, the World Bank has claimed it is largely ineffective due to its limited targeting. While the government attempts to provide an income safety net for millions of families, in 2020 it was revealed that the government had been distributing funds to ineligible beneficiaries.³⁰ Similarly, the Bangladeshi government has implemented the Grameen bank which works to provide microcredit to individuals.³¹

While India initially was reluctant toward globalization, they have become a large promoter of globalization while maintaining political legitimacy. With recurring crises, Pakistan has reverted between liberalization and populist policy. As exports have drawn Bangladeshis out of poverty, the government has supported globalization, however dependency on donors such as the World Bank. Many South Asian countries have been consistent with different economic policies. India has vied for maintaining high growth with equity whereas Nepal has looked to reduce overdependence on remittances and creating domestic growth.³² As a South Asian trade pioneer, India has worked with the IMF cautiously contrasting Pakistan's heavy dependence on the IMF. Sri Lanka has attempted to strike a balance between IMF support and bilateral creditors such as China and India. Nepal has relied heavily on India and China for trade access while Bangladesh continues to work closely with the World Bank. Across South Asia, governments have embraced liberalization in response to the fiscal crisis, but the challenge continues to be balancing global integration with protecting social stability and equity.

²⁹ "Unlocking the Power of Data to Improve Social Protection for India's Poor," Inclusion Economics, 2022, <https://ie.yale.edu/research/unlocking-power-data-improve-social-protection-indias-poor>.

³⁰ Muhammad Murad, "How Corruption Hollows out Pakistan's Benazir Income Support Program," TheDiplomat.com (The Diplomat, July 16, 2025), <https://thediplomat.com/2025/07/how-corruption-hollows-out-pakistans-benazir-income-support-program/>.

³¹ "Britannica Money," www.britannica.com, April 25, 2024, <https://www.britannica.com/money/Muhammad-Yunus>.

³² "Escaping the Remittance Trap," @kathmandupost (The Kathmandu Post, 2024), <https://kathmandupost.com/columns/2024/01/26/nepal-s-remittance-based-growth-trap>.

International Institutions

From its inception, the World Bank and the IMF's main priority has been maintaining the stability of the international monetary system through providing short-term loans. The IMF focuses on global macroeconomic issues and financial stability through invoking policy recommendations. Similarly, the World Bank promotes long-term economic development and poverty reduction by providing countries with technical and financial support to assist countries with loans.³³ The IMF works to stabilize economies facing imbalances such as high deficits and weak reserves through structural adjustment programs and conditional lending. If macroeconomic imbalances continue to increase with countries the IMF has provided relief to in South Asia, global financial stability will be undermined, and the IMF will lose credibility for its policy recommendation effectiveness. If a lack of economic stability persists with economic liberalization, the World Bank risks its development agenda being discredited if its support is linked to widening inequalities in the countries it supports. Social dislocation and political unrest also may occur if economic liberalization worsens conditions for people. Failed reforms of the World Bank will lead to heavy scrutiny and lessened donor confidence in World Bank programs.

The IMF's Structural Adjustment Programs promote austerity measures along with market-oriented reforms including privatization, trade liberalization, reduced government spending, and deregulation. India, Bangladesh, and Sri Lanka have implemented SAPs, however there have been criticisms to whether austerity measures have worsened conditions for vulnerable groups. Critics have also criticized the IMF for its "one size fits all" approach as the rigid policies may inhibit long-term growth in the future. The IMF has also utilized the Extended Fund Facility which is financial assistance for countries facing "medium-term" balance of payments issues stemming from structural issues which may take longer than anticipated to address.³⁴ The IMF also has previously used the Enhanced Structural Adjustment Facility which assisted members who were participating in

³³ International Monetary Fund, "The IMF and the World Bank," International Monetary Fund (International Monetary Fund, November 2022), <https://www.imf.org/en/About/Factsheets/Sheets/2022/IMF-World-Bank-New>.

³⁴ IMF, "The Extended Fund Facility (EFF)," IMF, n.d., <https://www.imf.org/en/About/Factsheets/Sheets/2023/Extended-Fund-Facility-EFF>.

economic reforms to strengthen balance of payments.³⁵ While the IMF strongly supported rapid liberalization and austerity measures between the 1970s-1990s, in the 2000s a shift in IMF ideology was apparent. The IMF recognized that previous adjustment programs failed to account fairly for poverty and social impacts leading to the demise of the Enhanced Structural Adjustment Facility. Likewise, for the World Bank, from the 1970s to the early 1980s, the World Bank was aimed at fostering project effectiveness, however, from the mid-1980s to the mid-1990s, understanding the social impacts of large development projects became crucial. Methods were developed to understand the social implications of projects and understanding the needs of the impoverished.³⁶

Throughout history the IMF has been monetary stability and balance of payment sustainability. For the World Bank, balancing liberalization with social protections was a goal that has remained. Both organizations have faced criticisms for causing potential dependency and deepening inequalities. The IMF and World Bank typically have co-financed programs in South Asia such as in India in 1991 and Sri Lanka in 2022 after defaulting on its debt payment. The IMF and World Bank work with national governments to influence economic policymaking, conditional loans, and technical assistance. The major donors to the IMF and the World Bank are the United States, Japan, China, and Germany, giving these countries the highest voting power.³⁷ The IMF operates under its Articles of Agreement and coordinates with the G20 on global crisis responses.³⁸ The World Bank functions through its 5 institutions, 2 of them being the IBRD and IDA. The IBRD provides policy advice and financial means to middle and low-income countries to reduce poverty. The IDA works to provide low-interest loans to countries and promote

³⁵ “Enhanced Structural Adjustment Facility,” United Nations Economic and Social Commission for Western Asia, October 6, 2015, <https://archive.unescwa.org/enhanced-structural-adjustment-facility>.

³⁶ “THE WORLD BANK GROUP ARCHIVES PUBLIC DISCLOSURE AUTHORIZED Folder Title: A History of Social Development Network in the World Bank PUBLIC DISCLOSURE AUTHORIZED,” 1973, <https://thedocs.worldbank.org/en/doc/845521495030323157-0560012002/original/WorldBankGroupArchivesFolder30098639.pdf>.

³⁷ CFR Editors, “Academic Webinar: International Financial Architecture,” Council on Foreign Relations, September 27, 2023, <https://www.cfr.org/event/academic-webinar-international-financial-architecture>.

³⁸ IMF, “A Guide to Committees, Groups, and Clubs,” IMF, 2019, <https://www.imf.org/en/About/Factsheets/A-Guide-to-Committees-Groups-and-Clubs>.

investing in low-income countries.³⁹ The World Bank implements reforms through lending agreements, Poverty Reduction Strategy Papers, and collaborates with the World Trade Organization, United Nations agencies, as well as regional banks.

Marginalized Workers

Marginalized workers and vulnerable groups have often faced the burden of liberalization. They have often been skeptical of liberalization as historically IMF and World Bank reforms have reduced subsidies, privatized state industries, and weakened job security. Marginalized workers struggle to protect their livelihoods, access to food and housing, and secure employment in periods of economic liberalization. Trade liberalization has often meant greater import competition leading to the threat of relocating labor to more cost-efficient areas causing wages to decrease for workers.

Furthermore, financial crises worsen the ability for those facing poverty to escape as they are poorly equipped to navigate the shocks of the financial crisis.⁴⁰ Since the 1990s, thousands of farmers in India have committed suicide due to indebtedness causing distress. When farmers are unable to get loans from official banks, loan sharks share insurmountable interest rates causing farmers to face a debt-trap.⁴¹ More lives of Indian farmers will be lost if this debt crisis continues. Additionally, in Bangladesh, workers have faced deadly conditions as in 2013, an eight-story building Rana Plaza collapsed killing 1,100 workers and 2,600 more. The building included numerous garment suppliers for Western brands. This was not an isolated incident, 5 months prior, the Tazreen Fashions Factory fire occurred killing 112 workers as they were locked up inside a factory.⁴² The tragedies in Bangladesh exemplified the exploitation of labor in developing countries where cost-cutting and deregulation strategies are used from global brands, harming laborers. From

³⁹ World Bank Group, “About Us,” World Bank Group, 2024, <https://www.worldbank.org/ext/en/who-we-are>.

⁴⁰ “The Unremarkable Record of Liberalized Trade: After 20 Years of Global Economic Deregulation, Poverty and Inequality Are as Pervasive as Ever,” Economic Policy Institute, n.d., https://www.epi.org/publication/briefingpapers_sept01inequality/.

⁴¹ Gunisha Kaur, “The Country Where 30 Farmers Die Each Day,” CNN, March 17, 2022, <https://www.cnn.com/2022/03/17/opinions/india-farmer-suicide-agriculture-reform-kaur>.

⁴² Amnesty International, “The Rana Plaza Collapse and Tazreen Fashions Fire: An Interview with Taqbir Huda,” Amnesty International, June 4, 2024, <https://www.amnesty.org/en/latest/campaigns/2024/06/the-rana-plaza-collapse-and-tazreen-fashions-fire-an-interview-with-taqbir-huda/>.

2020-2021, Indian farmers protested the government's anti-farm laws. Causing one of the largest protests in history, the farmers looked to influence the government in repealing three agricultural bills which would have deregulated crop prices, decrease farmers' earnings, and benefit private corporations. As agriculture is the backbone of the Indian economy with 196 million employed in this labor force, a deepening crisis has occurred with farmers in India since the 1990s. Primary issues include increasing debt from creditors, inadequate compensation, increasing fuel prices, and a lack of water supply availability.⁴³ While the Indian government has attempted to reform the industry by connecting the private sector with farmers, many farmers have been concerned with the attempts to privatize the agriculture sector. In 2022, in Pakistan, public transport owners went on strike due to tax increases leaving 132,000 daily transport users stranded.⁴⁴ In 2022, Sri Lanka experienced mass demonstrations as citizens demanded government accountability, economic justice, and eradicating corruption. Estimates were made that 6.3 million people were missing meals and 65,000 people experiencing food shortages. Farmers also struggled with increasing costs as many were dealing with chemical-intensive agriculture.⁴⁵

In India, workers have become highly mobilized such as with their farmers' union. In Bangladesh, following the 2013 Rana Plaza collapse, garment workers gained global attention as they highlighted the horrific working conditions, low wages, and lack of safety in the workplace. NGOs such as the Clean Clothes Campaign and International Accord for Health and Safety in the Garment and Textile Industry worked to expose the horrific conditions workers were facing.⁴⁶ In Sri Lanka, workers became a crucial aspect of the ousting of Gotabaya Rajapaksa. Throughout history, workers in India have looked to

⁴³ Anti-Farm Laws, "Indian Anti-Farm Laws Protest 2020-21 – Participedia," Participedia.net, August 9, 2020, <https://participedia.net/case/indian-anti-farm-laws-protest-2020-21>.

⁴⁴ in Pakistan, "Public Transporters in Pakistan Resort to Nationwide Strike to Protest Tax Hikes," Arab News, 2020, <https://www.arabnews.com/node/2135406/amp>.

⁴⁵ Anuka Vimuthi Silva and Amali Wedagedara, "Sri Lanka's Crisis Shows How Debt Is Devouring the Global South," Al Jazeera, August 29, 2025, <https://www.aljazeera.com/opinions/2025/8/29/sri-lankas-crisis-shows-how-debt-is-devouring-the-global-south>.

⁴⁶ "Bangladesh: Garment Workers Must Receive Rights-Based Compensation and Justice Immediately," Amnesty International USA, n.d., <https://www.amnestyusa.org/press-releases/bangladesh-garment-workers-must-receive-rights-based-compensation-and-justice-immediately/>.

protect subsidies and the livelihoods of those in rural areas. In Bangladesh, workers have demanded fair wages and improved working conditions. In Pakistan, workers have looked to affordable food and energy. In Sri Lanka, workers have advocated for social protections amidst liberalization efforts and in Nepal, workers have aimed to increase local jobs. Marginalized workers often come into conflict with governments as many policies have the greatest negative impact on them. Comparably, the austerity policies of the IMF and World Bank often hit marginalized groups first. NGOs and other international influences have been able to highlight crises impacting workers, such as in Bangladesh. While India has established domestic labor laws, there is weak enforcement in the informal sector which employs 90% of workers. The disconnect between the law and the reality in what informal sector employees receive promotes existing inequalities.⁴⁷ In Sri Lanka, IMF reforms have directly impacted marginalized workers affecting subsidy reforms. In Bangladesh, the United States and European Union's trade assisted in the garment sector boom, however after the Rana Plaza Factory atrocities, both duty-free benefits the government was receiving were halting, leading to an immediate attempt to boost worker rights and increase the number of factory inspectors.⁴⁸ In Nepal, Bilateral Labor Migration Agreements are used which manages its extensive workforce in the Gulf states and Malaysia. BLMAs are used for the safe migration of Nepali workers while trying to reduce expenses for workers.⁴⁹ For South Asia's marginalized communities, liberalization driven from fiscal crises has meant marginalized groups carrying the heaviest burdens of adjustment, emphasizing effective reform not just with economic stability, but also in safeguarding equity.

⁴⁷ "Navigating the Gaps: Labor Laws and India's Informal Workforce - Sambodhi," Sambodhi, August 26, 2025, <https://sambodhi.co.in/navigating-the-gaps-labor-laws-and-indias-informal-workforce/>.

⁴⁸ Reuters Staff, "Bangladesh Tells EU It Will Boost Worker Rights, Inspections," *Reuters*, July 8, 2013, <https://www.reuters.com/article/business/bangladesh-tells-eu-it-will-boost-worker-rights-inspections-idUSL6N0FE3O6/>.

⁴⁹ "Nepal Strengthens Capacities to Better Negotiate Labour Migration Agreements," International Labour Organization, May 27, 2025, <https://www.ilo.org/resource/news/nepal-strengthens-capacities-better-negotiate-labour-migration-agreements>.

International Trade Agreements

Trade agreements' primary motivation is to promote trade flows and attract economies while stabilizing economies. Often trade agreements are used as a tool to integrate economies into the global market following fiscal crises and liberalization. Currently, the primary South Asian trade agreement is SAFTA which was initiated in 2004 to create a free trade area among the eight member nations of the South Asian Association for Regional Cooperation to increase cooperation by reducing tariffs and non-tariff barriers. This agreement superseded the 1993 South Asian Preferential Trading Agreement.⁵⁰ Persistent instability in South Asia runs the risk of disturbing global supply chains such as garment exports from Bangladesh and IT services from India.

Often, trade agreements overlook how benefits are distributed leaving vulnerable groups exposed to harmful conditions. The EU and the United States' GSP+ trading agreement with Bangladesh is a preference-based system which means poor governance and labor violations can risk suspension, which leads to the question of the efficacy of trade-based development pathways.⁵¹ Social backlash can pressure governments to roll back on liberalization efforts, limiting the power of global trade agreements. If fiscal crises persist in the region and countries fail to meet trade agreements, the credibility of these agreements may end. The World Trade Organization advances global trade by means of lowering tariffs, regulating subsidies, and providing intellectual property protections. The progress of SAFTA in increased growth in South Asia has been hampered by factors such as persistent non-tariff barriers with different customs procedures and long "sensitive lists" which are member countries' products that are an exception to trade liberalization.

Furthermore, the large economic gap between SAARC member countries such as India in comparison to the Maldives has made the implementation of uniform trade policies difficult.⁵² Bilateral FTAs are also used in the region with the most significant being the

⁵⁰ United Nations, "South Asian Free Trade Area (SAFTA) | LDC Portal - International Support Measures for Least Developed Countries," [www.un.org](https://www.un.org/ldcportal/content/south-asian-free-trade-area-safta), n.d., <https://www.un.org/ldcportal/content/south-asian-free-trade-area-safta>.

⁵¹ "Monitoring Missions and Priorities in Bangladesh," [gsphub.eu](https://gsphub.eu/country-info/Bangladesh), n.d., <https://gsphub.eu/country-info/Bangladesh>.

⁵² "Boosting Trade Relations within South Asia," World Bank Blogs, 2019, <https://blogs.worldbank.org/en/endpovertyinsouthasia/boosting-trade-relations-within-south-asia>.

Sri Lanka-India Free Trade Agreement. This agreement has led to unevenly distributed benefits leading to potential job losses and reduction of long-standing employee benefits in Sri Lanka. While the agreement led to an increase in India textile exports to Sri Lanka and investment, there has not been a proportionate employment growth as of the 5,900 jobs created, 1,500 happened to just be reallocations of labor.⁵³ Some have argued that SAFTA effectiveness is limited by bilateral FTAs as it creates more favorable and direct trade relationships outside of the SAFTA framework.⁵⁴ Initially, trade agreements were viewed as neutral tools that could expand exports during a crisis. Over time, however, social consequences have been factored in such as the EU and United States with GSP+ ending if labor conditions did not improve in Bangladesh following Rana Plaza, showing the recognition of the human impacts of economic liberalization.

Many agreements today, however, remain liberalizing economies without guaranteeing protections for vulnerable workers. Throughout history, trade agreements have sought to promote regional and global integration. They have also aimed to maintain stable trade flows during fiscal crises and more recently, have looked to balance economic efficiency with social safeguards. Trade agreements shape crisis recovery strategies for governments and give governments the power to negotiate for favorable trading conditions. In terms of workers, trade agreements typically have created jobs, but primarily in low-wage sectors. In South Asia, trade agreements have open markets and contribute to stabilizing economies, but without social safeguards in place, inequality is widened and marginalized communities are left behind.

Possible Causes

Structural Adjustment Programs

Structural Adjustment Programs are programs in which loans are provided to countries on conditionalities regarding policy reforms from with the IMF or World Bank.

⁵³ Saman Kelegama and Chandana Karunaratne, “Experiences of Sri Lanka in the Sri Lanka - India FTA and the Sri Lanka -Pakistan FTA,” n.d., https://unctad.org/system/files/official-document/ecide2013misc1_bp10.pdf.

⁵⁴ Hafiz Wasim Akram et al., “Do Trade Agreements Enhance Bilateral Trade? Focus on India and Sri Lanka,” *Sustainability* 16, no. 2 (January 9, 2024): 582–82, <https://doi.org/10.3390/su16020582>.

Structural Adjustment Programs (SAPs) have contributed to negative social impacts as they have encouraged a reduction of government spending on social services such as healthcare and education, increased unemployment through privatization, and worsened inequalities as liberalization has led to higher prices and lower wages for the poor. Throughout the 1980s and 1990s, SAPs were widely implemented; however, many African countries faced a lack of both long-term economic growth and social stability. Scholars have also criticized SAPs as the terms they have set with governments have undermined the borrowing governments' sovereignty. SAPs provide a one-size-fits-all approach leading to the specific political and economic conditions of a country not being addressed. In Haiti, the country has had a long history of borrowing with the IMF, however, SAP programs enacted failed to consider the political, economic, and environmental needs of the country. Likewise, in Argentina, the quick imposition of SAPs led to the decline of economic, social, and health results.⁵⁵ While the IMF replaced SAPs with the Enhanced Structural Adjustment Facilities (ESAFs), there still lies the same problems with the initial SAP. Following the transition to ESAFs, the IMF has imposed a greater number of conditions on loan payments which have contributed to political unrest.

Often, the effects of SAPs are felt the greatest by women, children, and vulnerable populations specifically in the health sector. Many have also cited the use of loans based on conditionalities represents neocolonialism as the IMF and World Bank funding comes from wealthy member countries, and these institutions then use the money for reforms which will allow multinational corporation investments in the borrowing countries.⁵⁶ One of the primary tasks of the SAP is to reduce inflation, however, while lower inflation has the potential to improve the real incomes of the poor, particularly when wages are able to adjust slowly to rising prices, the macroeconomic benefits are not always guaranteed.

⁵⁵ Ethan Syster, "SAPs in Disguise: Modern IMF Programs Have Similar Negative Effects to Their Criticized Predecessors," International Law and Policy Brief, April 19, 2022, <https://studentbriefs.law.gwu.edu/ilpb/2022/04/19/saps-in-disguise-modern-imf-programs-have-similar-negative-effects-to-their-criticized-predecessors/>.

⁵⁶ Drew Weider, "Structural Adjustment's Complex Legacy in Sub-Saharan Africa – Michigan Journal of Economics," Michigan Journal of Economics, April 29, 2024, <https://sites.lsa.umich.edu/mje/2024/04/29/structural-adjustments-complex-legacy-in-sub-saharan-africa/>.

Poorer individuals typically experience longer income adjustment lags and lack of access to inflation-protected assets, leaving them more vulnerable during inflationary periods. Despite SAPs being able to achieve lower inflation, the imposition of austerity measures can lead to slow growth and heightened short-term poverty, disproportionately impacting low-income populations. Furthermore, as currency devaluation is frequently associated with SAPs, there is no proven evidence that there is a correlation between devaluation and poverty. Income distribution can be worsened if the poor are urban consumers who are experiencing growing food prices or farmers who are producing for domestic use.⁵⁷

Temporary Social Safety Nets

The Covid-19 Pandemic, economic crises, and climate related issues in South Asia have caused millions to face poverty, particularly vulnerable groups such as women, youth, and children. While there have been efforts to revitalize social protections, many issues remain as countries lack adequate social protections. South Asia currently faces one of the lowest social welfare program expenditures to GDP globally as the region only spends 0.9% of GDP on social safety nets. Typical labor market programs such as unemployment benefits and severance payments are largely lacking in many Asian countries, and if they are, they are ineffective. Many social benefits currently in place are largely ineffective such as energy subsidies and public sector pensions which only are applicable to a small group of people. Many households are not covered by social insurance or social assistance. Pakistan's Benazir Income Support Programme was only able to reach 79% of the poor and India's Mahatma Gandhi National Rural Employment Guarantee Scheme was only able to reach 68% of the poorest quintile of target populations. Only 25% of Pakistan's households are partaking in social welfare programs.⁵⁸ In India, over 75% of the population fails to meet the adequate daily calorie consumption. To remedy this, the Indian

⁵⁷ Doris Oberdabernig, "The Effects of Structural Adjustment Programs on Poverty and Income Distribution," 2010, <https://wiiw.ac.at/the-effects-of-structural-adjustment-programs-on-poverty-and-income-distribution-paper-dlp-2017.pdf>.

⁵⁸ Warda Javed and Zubia Mumtaz, "South Asia's Unprotected Poor: A Systematic Review of Why Social Protection Programs Fail to Reach Their Potential," ed. Genevieve Cecilia Aryeetey, *PLOS Global Public Health* 4, no. 6 (June 13, 2024): e0002710, <https://doi.org/10.1371/journal.pgph.0002710>.

government enacted the National Rural Employment Guarantee Scheme (NREGS) and the Public Distribution System (PDS). In Rajasthan, over $\frac{1}{3}$ of the participating households in the program had to wait over 45 minutes just to make purchases from fair price stores. Regarding NREGS, the maximum distance households in Rajasthan needed to travel was over 8 kilometers to worksites, but fewer than 3% of participating households lived within this proximity in Rajasthan. The opportunity costs for these programs are incredibly high and the benefits for those facing poverty are quite slim.⁵⁹ Many social safety nets do not include funds to help employees, and this is evident as while there were 386 million South Asians becoming part of the working age population from 2000-2020, only 81 million jobs were created. Many workers in South Asia are unable to escape from informal employment and lack economic mobility.⁶⁰

Some of the current social welfare policies include Bangladesh's National Security Strategy giving coverage to all citizens, India providing health insurance through Ayushman Bharat, and the Maldives' social protection system which has cash transfers, food assistance, and health insurance for older citizens. Despite these efforts, there lies many challenges as economic inclusion programs are necessary for women, girls, and youth to address social protection problems. People belonging to these groups typically face dangerous work environments, long hours, and climate change.⁶¹ There lies challenges in creating social protection programs for informal workers as they traditionally have no access to social protection and as the informal sector lacks homogeneity, programs employing creative and active forms of outreach are necessary. The creation of social protection programs for the informal sector is often difficult to accomplish due to constraints both fiscally and administratively.⁶²

⁵⁹ Raghbendra Jha, "Reducing Indian Poverty: Income Transfers through Social Safety Nets," East Asia Forum, June 30, 2010, <https://eastasiaforum.org/2010/06/30/reducing-indian-poverty-income-transfers-through-social-safety-nets/>.

⁶⁰ "Rethinking Social Protection in South Asia: Toward Progressive Universalism," World Bank, n.d., <https://www.worldbank.org/en/region/sar/publication/rethinking-social-protection-in-south-asia-toward-progressive-universalism>.

⁶¹ Raja, "Social Protection for the Informal Economy in South Asia - Asia Pathways," Asia Pathways, August 2, 2024, <https://www.asiopathways-adbi.org/2024/08/social-protection-for-the-informal-economy-in-south-asia/>.

⁶² Sri Wening Handayani, "Social Protection for Informal Workers in Asia" (6 ADB Avenue, Mandaluyong City, 1550 Metro Manila, Philippines: Asian Development Bank, n.d.).

Historical Discrimination, Weak Institutions, and Corruption

While the International Covenant on Economic, Social, and Cultural Rights states that food is a fundamental human right under Article 11, however Nepal, India, and Bangladesh have the highest rates of child malnutrition and maternal mortality. These governments have prevented access of land and food to Dalits which are the lowest caste communities in South Asia and indigenous groups. In 2010, the Indian Prime Minister stated that the levels of malnutrition were not suitable, and therefore, enacted the National Food Security Act in January 2011. The act was unable to address all the poor in rural areas and has a weak remedy for punishing corrupt officials. In 2010, it was found that rotten foods were delivered to the poor highlighting the lack of care for providing the impoverished with adequate food. In Indian districts such as Sahariya, Rewa, Satna, Jhabua, and Khandwa, over 60% of the population is malnourished and 20% face acute malnutrition. The communities primarily facing malnutrition are indigenous tribes and lower caste groups, Dalits, due to discriminatory rollout practices by the government. Farmers in India have also been forced to develop smaller plots of land causing heightened poverty and hunger as the government has taken land in the name of “development” causing increased scarcity. The lack of representation for poor-villagers in decision making processes as well as the lack of benefits for them with development projects has emphasized the discrimination felt in South Asia. In Nepal, 30% of the population is landless and most are Dalits who are landless and impoverished.⁶³ The disparity between urban and rural areas is further shown by the national literacy rates of the urban vs. rural populations, in rural India 71% of the population is literate whereas in urban India, 86% of the population in urban India is literate due to the imbalance in education expenditures for urban and rural populations.

Social safety nets have been weakened by the enforcement of previous policies and programs intended for providing food for the poor in India. Child malnutrition in Madhya

⁶³ “South Asia: Poor Governance and Corruption in Bangladesh, India and Nepal Leading to Child Malnutrition and Widespread Hunger - India,” ReliefWeb, n.d., <https://reliefweb.int/report/india/south-asia-poor-governance-and-corruption-bangladesh-india-and-nepal-leading-child>.

Pradesh represents the lack of political will to work towards addressing food self-sufficiency for the poor. Corruption hurts the most vulnerable populations the greatest as it prevents social inclusion, exacerbates inequalities, and inhibits prosperity.⁶⁴ India's Public Distribution System allows families to gain access to essentials for low costs, however, this system is full of corruption as millions of tons of food intended for the poor have been misused as part of this program. 60% of the food for the program has been lost in transit, sold on the black market, or infiltrated by corrupt middlemen. Despite grain surpluses, they have not been given to the malnourished as they typically go unused. India's own government reports have also highlighted the corruption within these programs, as traders obtain access to grain and then sell it on black markets which allows them to sell the grain back to corrupt government officials who are able to profit.⁶⁵

Comparison of Causes

The causes of poverty and inequality from economic liberalization are primarily interconnected as the one-size-fits-all approach is a detriment to developing economies as it does not take into account political and economic intricacies. This ultimately results in vulnerable populations being disregarded and social safety nets being eliminated due to austerity measures. Structural economic reforms, weak social protection systems, and entrenched discriminatory practices have all contributed to the lack of effective social systems. Under the guidance of the IMF and World Bank, the emphasis on austerity measures, privatization, and market liberalization leading to reduced government spending on essential services such as healthcare and education disproportionately hurts low-income and vulnerable populations. These policies also worsen economic inequality as the poor face lower wages and higher costs of living. The lack of efficacy with social safety nets in South Asia reflect a growing systemic failure in providing vulnerable groups with effective protections. Minimal investments in welfare programs along with inefficiencies in program

⁶⁴ "UNODC Anti- Corruption Hub for South-East Asia," accessed October 8, 2025, https://www.unodc.org/roseap/uploads/documents/Publications/2024/UNODC_Anti-Corruption_Hub_for_South-East_Asia_Brochure_Nov_2024.pdf.

⁶⁵ "Corruption and Food Security in India," World Food Prize Michigan Youth Institute, 2017, <https://www.canr.msu.edu/news/corruption-and-food-security-in-india>.

implementations has caused a vast number of the population, such as women and youth without economic security. Historical discrimination has deepened inequality by denying marginalized groups such as Dalits and indigenous communities' access to food, land, and education. These causes demonstrate that both external economic reforms and internal institutional failures are reinforcing cycles of poverty, leaving marginalized groups without access to social mobility.

Projections and Implications

Economic liberalization is reshaping South Asia's social and economic landscape; however, it overlooks its human consequences. While countries may see potential gains and stabilization with IMF or World Bank financing, short-term stabilization may only be able to reduce immediate poverty following crises rather than ensuring both sustainable and inclusive development. Social gains for vulnerable groups primarily are dependent on worker mobility, active social policy, and labor protections. With a lack of targeted policies, economic liberalization has the potential to widen existing inequalities about race, class, and gender. Moreover, economic liberalization could lead to the rise of the informal sector, with the formal sector decreasing in size, potentially worsening gender and regional disparities. Trade and investment reforms may be able to promise growth, but they also risk deepening inequalities, displacing workers, and worsening social safety nets if this issue is left unaddressed. Ignoring these impacts means ignoring the lives of millions. Without strong and effective policies in place, short-term winners of liberalization will be corporations and capital owners, leaving marginalized groups with the long-term costs.

In the short term, economic growth in South Asia has been able to lift over 250 million people out of extreme poverty, with a significant reduction between 2008 and 2012⁶⁶. These gains have also been accompanied by rising consumer prices in the in sectors such as food and fuel specifically due to the lack of effective economic social safety nets. The rise of privatization has also led to reduced access to affordable healthcare, education,

⁶⁶ "Inclusive Growth Can Help Unleash South Asia's Untapped Potential," World Bank, n.d., <https://www.worldbank.org/en/news/press-release/2023/05/08/inclusive-growth-can-help-unleash-south-asia-untapped-potential>.

and food subsidies, disproportionately impacting low-income households. When vulnerable populations lack protections, public unrest can lead to political instability and the loss of trust within the public regarding government reforms. While trade liberalization has the potential to shift workers to more productive jobs, this can only occur if workers are provided with the tools necessary for labor mobility which are the ability to move geographically and across sectors. Without these mechanisms, economic growth alone is unable to address inequality, and the benefits of liberalization are largely consolidated between urban, skilled, and male workers.

Rising income and consumption inequalities have revealed that the benefits of economic growth are unevenly distributed. As economic liberalization policies have caused governments to reduce large-scale public investments, there has been a decrease in formal jobs, shifting these jobs to the informal sector. With the rise of the informal sector, workers face a lack of worker protections, lower wages, and poor working conditions. Informal work is largely correlated with gender inequality as women in lower- and middle-income classes are more likely to hold these informal positions.⁶⁷ Female labor participation in South Asia continues to remain one of the lowest, however there has been an increase in opportunities in export-oriented sectors such as manufacturing. While this is beneficial to women, those who were in the agricultural sector have lost independent sources of income due to economic liberalization. While growth has been stimulated, ultimately, trade policies have been “gender-blind” perpetuating the marginalization of women.

In the long term, comprehensive reforms that are extensive and integrate education, infrastructure, and institutions could increase per-capita income growth and export diversification. There lies a large, untapped potential of the number of women in the workforce. The underutilization of female labor participation could intensify economic liberalization benefits immensely, fostering both innovation and productivity. The failure to address persistent inequalities risks entrenching uneven growth which can lead to

⁶⁷ Raja, “Social Protection for the Informal Economy in South Asia - Asia Pathways,” Asia Pathways, August 2, 2024, <https://www.asiopathways-adbi.org/2024/08/social-protection-for-the-informal-economy-in-south-asia/>.

regions, genders, and social classes facing a lack of access to opportunities. Over time, these disparities may polarize societies and weaken governance. It is necessary to ensure that economic liberalization can uplift rather than divide as the future of South Asia's growth depends not wholly on economic growth, but also how widely benefits are shared.

Committee Jurisdiction

The United Nations Development Programme is the lead UN development agency which works to end poverty, protect the planet, and help member countries develop partnerships, growth, and institutions for sustainable growth.⁶⁸ The UNDP assists countries in integrating Sustainable Development Goals (SDGs) into their respective policies.⁶⁹ Its primary responsibilities include providing policy advice, leadership skills, technical assistance and institutional capabilities in order to reduce inequality and promote inclusive growth. The key areas of the UNDP include providing oversight, approving policy and strategic plans, financial management, and ensuring accountability. The UNDP also runs development projects including poverty reduction and crisis recovery in collaboration with governments, other UN bodies, and civil societies to design and implement projects that enhance resilience and improve access to essential services.

The UNDP's Mainstreaming, Acceleration, and Policy Support (MAPS) framework provides tools, statistics, and assessments to further understand constraints hindering progress and where inequalities persist. This is used to assist governments in aligning policies with their SDGs. The UNDP can coordinate and deliver platforms with local governments, international organizations, civil society, and the private sector. The UNDP's jurisdiction extends to addressing multi-faceted issues including gender equality, climate change adaptation, and crisis recovery. The UNDP often assists post-conflict nations through helping with building resilience, restoring governance, and supporting recovery. This is to help bridge the gap between immediate recovery and long-term structural transformation. Assistance is provided when requested by governments.

The UNDP authority is primarily advisory rather than enforcement based. As it is not a sovereign authority, it is unable to enforce and dictate laws, however they are able to work with governments. While the UNDP has access to voluntary contributions and channel funds, it is not like the IMF or World Bank in the sense that it is unable to provide

⁶⁸ UNDP, "Expertise | United Nations Development Programme," UNDP, n.d., <https://www.undp.org/expertise>.

⁶⁹ "What Is UNDP's Role? | United Nations Development Programme," UNDP, n.d., <https://www.undp.org/sdg-accelerator/what-undps-role>.

large financial loans and bailouts.⁷⁰ Its involvement is typically program or project based, focusing on technical expertise, coordination, and long-term capacity building. Furthermore, the UNDP does not conduct military operations but may engage in peacebuilding activities that interact with security institutions in post-conflict areas.

The UNDP is a key driver of international development efforts as its initiatives and frameworks impact global policy discourse and support nations in creating inclusive and resilient societies. The UNDP shapes development through ensuring that progress can align with human dignity and equality.

⁷⁰ “Governments,” UNDP, 2024, <https://www.undp.org/our-partners/governments>.

Conclusion

Economic liberalization in South Asia has marked the transformative potential and the social challenges of market-oriented reforms. Beginning with the 1970s reforms in Sri Lanka, marking the region's end toward protectionist policies, nations such as India, Pakistan, Bangladesh, and Sri Lanka have taken measures to expand global trade integration, accelerate industrialization, and grow foreign investment. Crises today including Sri Lanka's default in 2022, and political and economic troubles in Pakistan have highlighted the fragility of liberalized economies that lack strong social protection systems and inclusive growth policies. South Asian economies have been representative of the fact that growth without equity is unsustainable.

While these reforms have been able to generate growth, it has also worsened existing inequalities, widened the urban-rural divide, and left many segments of the population including women and farmers without adequate protection. Market reforms have outpaced social reforms as the "one-size-fits-all" model from the IMF and World Bank has disregarded political, social, and economic complexities of developing nations. Structural reforms such as privatization, market deregulation, and austerity measures have caused the removal of key social safety nets, disproportionately impacting low-income and vulnerable populations. The weakening of social protection systems and prioritization of fiscal growth over human welfare has caused millions of people to be without security and lack of mobility. Labor markets in the region have seen a rise in the informal sector due to austerity measures with women and youth being largely the most affected by this. The costs of economic liberalization were endured by those who were least likely able to absorb them.

Corruption, inefficiencies in welfare distribution, and caste hierarchies have further deepened social inequalities. Inefficiencies within social safety net distribution systems have made aid unable to reach those who need it the most. Entrenched hierarchies based on class and gender in South Asian societies have also continued to marginalize disadvantaged groups. Ultimately, both external and imposed reforms have reinforced cycles of poverty in South Asia, causing economic liberalization to perpetuate disparities

it aimed to alleviate. To truly establish effective economic reforms, policies should ensure they are able to uplift rather than divide.

Discussion Questions

- Why does South Asia remain one of the least integrated regions in the world despite geographic and cultural ties, and how can governments overcome political and structural barriers to regional cooperation?
 - How can South Asian governments balance the pressures of globalization and the guidance of institutions like the IMF and World Bank with domestic priorities?
 - How might deep-rooted institutional weaknesses be more challenging to address than market inefficiencies?
 - How might prioritizing urban development create long-term structural risks for economic stability and sustainable development?
 - Why might global institutions recommendations contradict domestic social and political priorities in South Asia and how can governments negotiate these terms without undermining economic reforms?
 - How can South Asian countries work to protect vulnerable populations such as the urban and rural communities from inequality and exploitation?
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Bibliography**For Further Reading**

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This article examines how unregulated globalization has failed to reduce global poverty and inequality. Since the 1980s, income gaps between and within countries have widened, poverty reduction has been uneven, and the poorest populations have had very little income growth. Deregulated trade and capital flows have increased financial instability, weakened labor conditions, and constrained governments' ability to protect the poor.

Syster, Ethan. "SAPs in Disguise: Modern IMF Programs Have Similar Negative Effects to Their Criticized Predecessors." International Law and Policy Brief, April 19, 2022. <https://studentbriefs.law.gwu.edu/ilpb/2022/04/19/saps-in-disguise-modern-imf-programs-have-similar-negative-effects-to-their-criticized-predecessors/>.

This piece evaluates the modern-day form of SAPs. It examines the colonial roots of SAPs leaving countries unable to develop stable economic systems. The criticisms of SAPs are discussed and the IMF's evolution of SAPs.

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